A briefing for the board

# The battery company that chose not to be big

UniverCell Holding GmbH of Flintbek, Germany. What it is, what the industry around it is doing, and what we should take from both.

Figures current to

**20 October 2026**

# The five numbers that matter

## 10 Nov

**China's deadline**

China's export licence rules on cells, graphite and battery machinery are **paused, not cancelled**. The pause runs out on this date.

## 98%

**Made in China**

of the world's anode material. Also 90% of cathode. The chokehold is on **processing**, not on mines.

## ₹1.6 lakh cr

**Burnt in Europe**

across four battery firms since 2023. Seven of UniverCell's nine European rivals are dead or shrinking.

## 116×

**The company's own gap**

between the capacity it advertises and what its cell line actually makes today. We do that sum on slide 9.

## ₹38,900 cr

**Our import bill**

India spent this on battery cells in 2025. Up 44% in a year, **93% of it from China**.

**The whole argument, in three sentences**

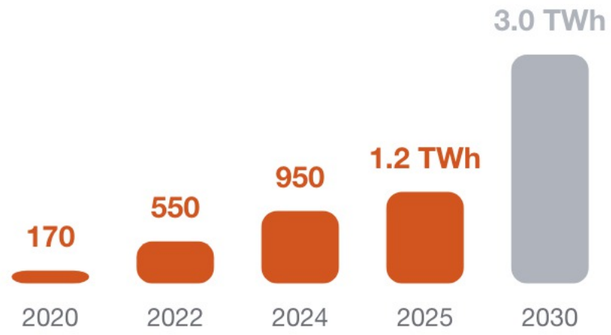
Europe tried to beat China on **size** and lost about ₹1.6 lakh crore trying. The few European battery firms still alive did the opposite: they stayed **small and specialised**, and sold where price per unit is not the deciding factor. UniverCell is the clearest live test of that second idea, and its own numbers do not yet match its story.

Sources: China's MOFCOM notice 58 of 2025 · IEA critical minerals outlook · company filings and insolvency records · UniverCell's Series B announcement of 4 March 2026, plus our own arithmetic · UN Comtrade.

# More batteries, less money per battery

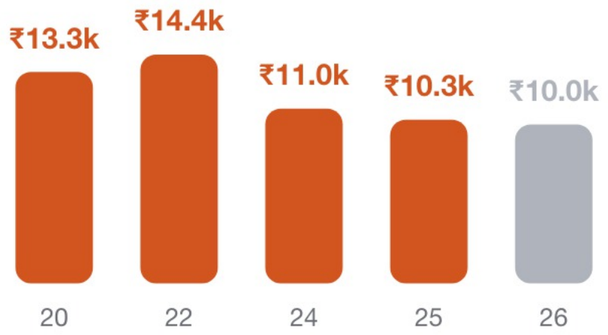
**How much battery the world fits to vehicles each year**

gigawatt-hours. The 2030 bar is the IEA's outlook, not an actual




**What a battery pack costs, and how fast that is falling**

thousand rupees per kWh. The 2026 bar is a forecast




## ₹6,700

**per kWh, storage packs**

Down 45% in a single year. The cheapest cell on the market is **₹3,400 per kWh**.

## 40%

**of the world's factories sit idle**

But CATL ran at **97%**. The idle lines are the weak ones.

**Why this matters to us**

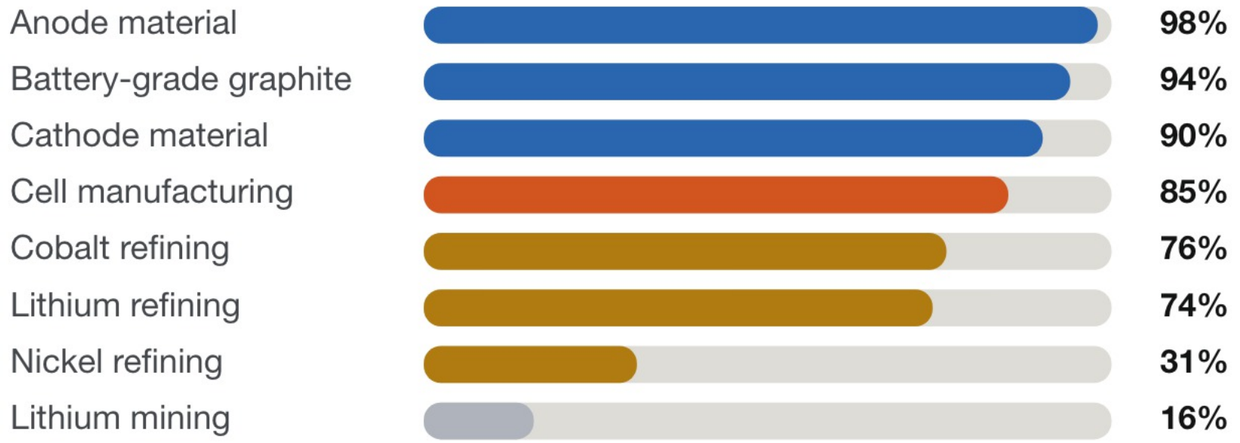
No one outside China wins a price fight on this curve. The only places left to make money are the ones where **the customer is not buying on price per kWh**.

IEA Global EV Outlook 2026 · Benchmark Mineral Intelligence · BloombergNEF price survey, December 2025; 2026 is their forecast.
Converted at ₹95.24 to the dollar, held constant across years so the trend is comparable.

# Buying a lithium mine does not solve this

China's hold is not on the ground. It is on every step between the mine and the finished cell, which is the part nobody else built.

**China's share of world capacity, step by step**
percent of global capacity, 2024 to 2025




**It got worse, not better.** China's grip on refining rose from 82% to 86% between 2020 and 2024, straight through the West's whole effort to break it.

**2035 looks much the same.** The IEA expects China to still hold over 60% of refined lithium and about 80% of battery-grade graphite.

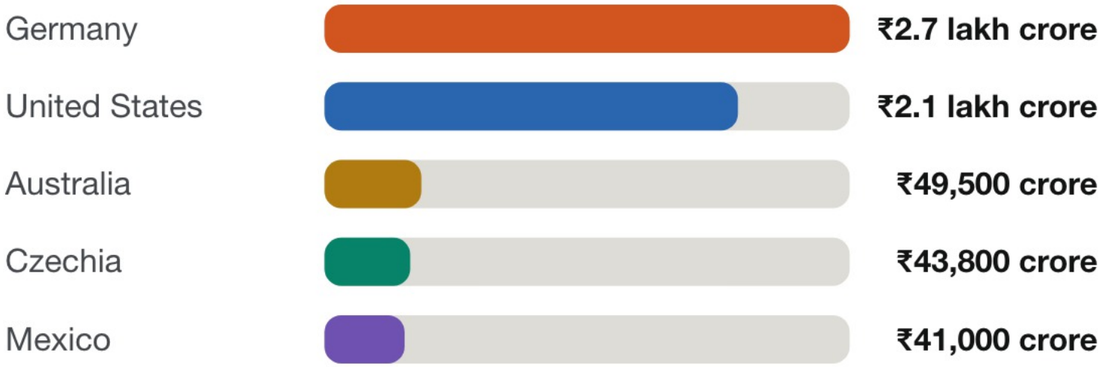
**The licence is the real risk.** Since July 2025 China requires a government licence to export cathode technology, and that rule was never paused.

**What it means for us.** Every cell plant being built in India today runs on Chinese technology, Chinese machines and Chinese engineers. All three sit inside these rules.

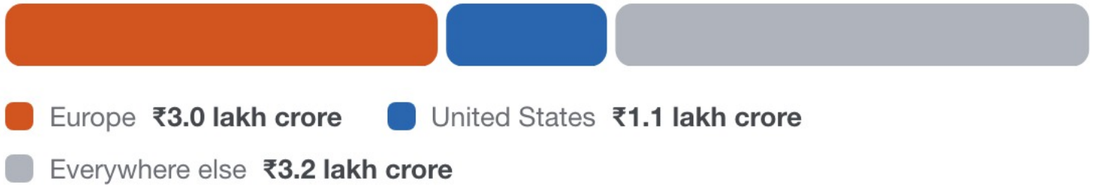
IEA Global Critical Minerals Outlook and Global EV Outlook 2026 · China's MOFCOM and MOST technology export rules of 15 July 2025 · MOFCOM notice 58 of 2025, in force 8 November 2025, paused until 10 November 2026. A further extension has been reported but we could not find the official notice confirming it.

# One seller, and a new set of buyers

**The world's biggest battery importers**
rupees of lithium-ion cells bought in the twelve months to end-2025




**Where China's ₹7.3 lakh crore of battery exports went in 2025**
share of China's total export value




**66%**

**of all battery imports worldwide**

come from China, up 5 points in one year. By weight it is 78%.

**#1**

**Germany is now the top buyer**

₹2.7 lakh crore of imports. It passed the United States in May 2025.

**America is leaving the market, not winning it.** Chinese exports to the US fell by a fifth, and China's share of US imports dropped from 65% to 46%.

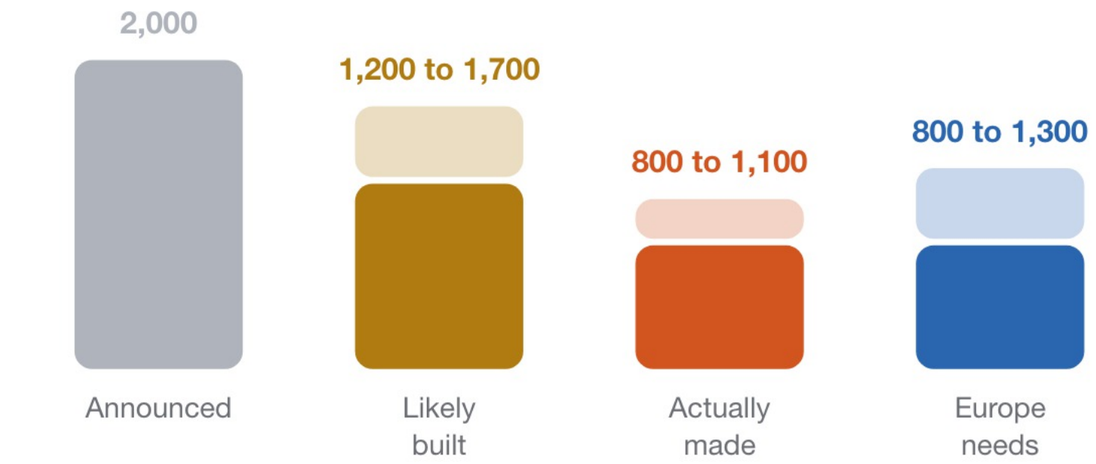
**That volume did not vanish. It came our way.** Europe, Australia, India and Vietnam absorbed it. India was the fastest-growing destination of all, up 73% in a year.

**Prices are falling, not demand.** Across the big importers, tonnage rose 14% while the money spent stayed flat.

UN Comtrade mirror data via GTAIC, rolling twelve months, product code 850760 · China Passenger Car Association. 2025 Comtrade reporting is still incomplete, so the shares are firmer than the totals.

# Europe will build half of what it promised

**What Europe promised for 2030, and what it will actually make**
gigawatt-hours a year. Solid bar is the low end of each estimate, the pale block the high end




A single figure means there is no range

Solid is the low end, the pale block above it is the high end

**700+ GWh**

**Cancelled or delayed**

About 240 GWh of it in Germany alone, roughly a quarter of everything announced.

**98%**

**Owned by Asian firms**

of the battery capacity sitting on European soil. Europe hosts the factories and owns almost none.

**Europe is not short of announcements.** It is short of factories that actually get finished, approved by customers and run properly.

**Demand and realistic supply broadly meet.** The shortfall is against the promise, not against the need.

**Deloitte puts a price on the miss:** about ₹1.1 lakh crore of profit given up over four years.

Fraunhofer ISI risk model for the European battery ramp-up, data to December 2024 · Transport & Environment, October 2026 · Deloitte via electrive, August 2026.

# Seven of its nine European rivals are gone

| Company | Where | What happened | Money gone |
|---|---|---|---|
| **Northvolt** | Sweden | Bankrupt Mar 2025. Shipped about 1 GWh against a 16 GWh target | ₹1.4 lakh crore |
| **Varta** | Germany | Rescued in 2024, then filed insolvency again in Jul 2026 | ₹3,000 crore |
| **Morrow** | Norway | Bankrupt May 2026, weeks after starting commercial production | ₹4,600 crore |
| **CustomCells** | Germany | Insolvent 2025 when its one big customer did not pay | not disclosed |
| **Britishvolt** | UK | Administration Jan 2023. The 30 GWh plant was never built | ₹49,200 crore |
| **Leclanché DE** | Germany | German units filed insolvency in Sep 2026 | not disclosed |
| **Cellforce** | Germany | Porsche's cell venture, closed completely in May 2026 | not disclosed |
| **ACC** | France | Two German and Italian plants cancelled, replaced by a CATL deal | not disclosed |

Insolvency filings and administrators' statements reported by electrive, Energy-Storage.News, Stuttgarter Zeitung, TechCrunch and Climate Home News, 2023 to 2026. Money-gone figures are what was raised or written off, so they are a floor, not a total.

**The warning**

Morrow's plant was judged **far too small to supply a big carmaker**. UniverCell's target is the same size. Its entire defence is that it is **not trying to supply a carmaker**.

**What the survivors have in common**

**A carmaker owns them.** Every European survivor has one. Every independent firm that tried to sell on the open market has failed.

**They built to orders, not to ambition.** Northvolt built for 16 GWh and shipped 1.

**They refused the price fight.** Anyone competing on cost against Chinese cells lost.

UniverCell passes the second and third tests. **It fails the first. No carmaker owns any part of it.**

# Ninety-two people in northern Germany

### The basics

| | |
|---|---|
| **Started** | May 2019 |
| **Where** | Flintbek, near Kiel |
| **Founders** | Dr Stefan Permien and Marius Strack |
| **People** | 92 |
| **Balance sheet** | ₹132 crore |
| **Sales** | "double-digit millions" of euros |
| **Patents** | 1, still pending |

### What they sell

**Coated electrode foil.** This is the real business. Over 1,000 tested recipes, and the 1,000th customer order was delivered in January 2026.

**Custom pouch cells** for customers who need an odd shape.

**Their own 21700 cylindrical cell.** 6 amp-hours, fast charging, over 750 cycles. Production started June 2026.

**Sodium-ion**, with a Karlsruhe partner, on a ₹155 crore government-funded project.

### Who backs them

**₹320 crore raised in March 2026** from Germany's state deep-tech fund, two industrial partners and the EU's innovation fund.

**A ₹26 crore EU grant** for the cylindrical cell programme.

**No carmaker and no big customer owns a share.** This is the single biggest structural worry.

**The founders are the team from CustomCells**, the German specialist that collapsed in 2025. They are named on four of its patents.

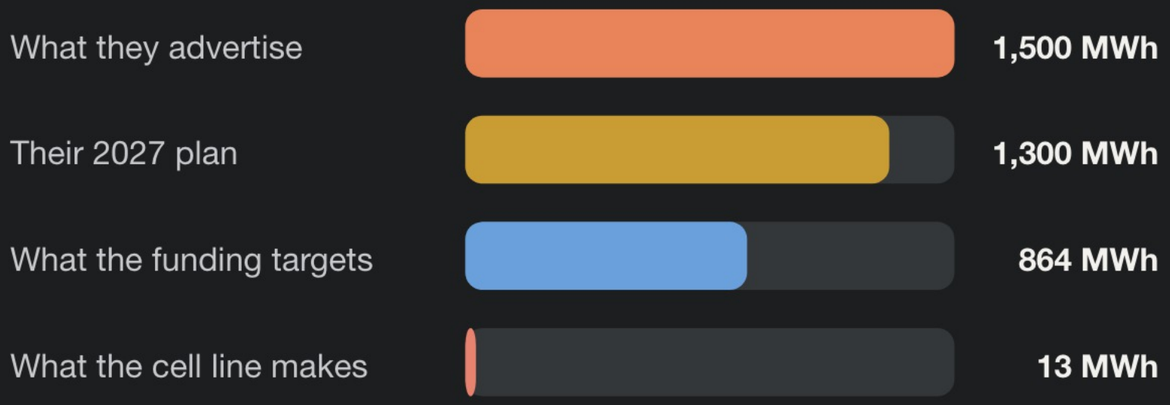
**same people, second attempt**

German company register and published accounts · UniverCell's Series B announcement of 4 March 2026 · company website and its technical presentation hosted by NASA · EU grant record 101161461 · patent searches. They did not buy CustomCells or its assets; the link is the two founders.

# They advertise 1,500. They make 13.

Both numbers are theirs, and they measure two different things.

**What they claim, and what they make, in a year**
megawatt-hours, drawn to scale, using their own 21.6 Wh per cell




**The sum, so you can check it**

50,000 cells a month × 12 × 21.6 Wh = **13 MWh a year**, which is **0.86%** of the 1,500 they advertise. Filling 1,500 would take **5.8 million cells a month**.

**So what is the 1,500?** It is their **electrode coating line**, not their cell line. That business is real and already earns money selling coated foil to other firms.

**So this is an electrode factory with a small cell line attached**, about seven times smaller than CATL's German plant. Their 2027 plan needs roughly 100 times today's output, in eighteen months, on ₹320 crore. Ask them how.

Our calculation, using only figures the company itself has published. The 21.6 Wh per cell basis is checked against their own roadmap, which converts 180 million cells to about 4 GWh. Their press release contains both "40 million cells a year" and "1.5 GWh", and those two numbers disagree with each other by 1.7 times.

# A real advantage that runs out in 2028

Electrodes are normally a wet paste, baked dry in a very long oven. Dry coating skips the liquid entirely.

**Who is actually running dry coating today**
ranked by what is operating at industrial scale, October 2026

| | | | |
|---|---|---|---|
| **1** | Tesla | Both electrodes, fully dry | Mass production in Texas |
| **2** | VW PowerCo | Both electrodes | Factory built, series use unconfirmed |
| **3** | UniverCell | Both electrodes, in-house | Running, but under one GWh |
| **5** | AM Batteries | Sells dry electrodes | Pilot, US plant funded |
| **6** | LG Energy | Full electrode | Pilot done, production in 2028 |
| **8** | Dürr and LiCAP | Equipment and know-how | Proven, but lost its pilot site |

**27%**

**less energy per cell**

Their own measured number. The 30 to 40% quoted in the press is only the coating step.

**17-30%**

**possible cost saving**

Industry estimate, plus a much smaller factory building.

**The lead is about three years, not ten.** LG starts mass production in 2028, Samsung is testing, and Fraunhofer will license the method to anyone who asks.

**Be careful with their headline spec.** Their cell claims 330 Wh/kg against a rival's 284, but the entire difference is **12 grams of casing**. Energy per cell is actually 2.4% lower.

**Someone else's problem is our opening.** Dürr and LiCAP have a proven European dry-coating system and no test site since Cellforce shut. They are openly seeking a partner.

Tesla's Q4 2025 shareholder letter · Dr Stefan Permien speaking at Battery Power Europe, April 2026 · LG and Samsung SDI company guidance · Fraunhofer IWS · Dürr public statements, 2026. The ranking is by what is actually running at industrial scale, not by research progress.

# Where the money sits in this industry

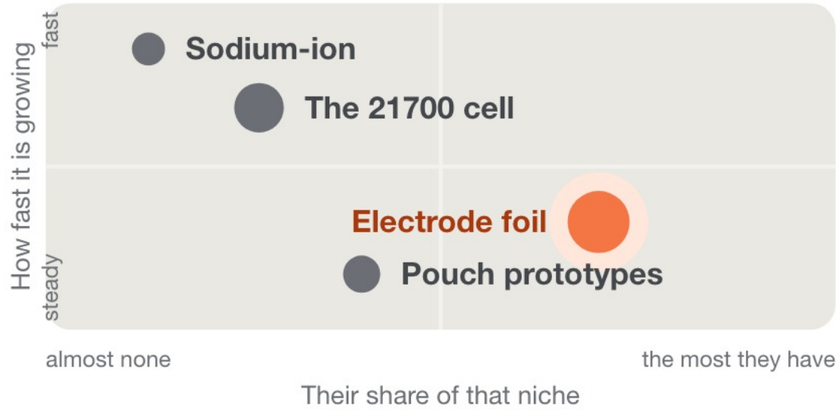
**Where the value is created, from mine to finished pack**
share of total value added across the chain, our estimate



Digging and refining **55%** Electrodes and cells **22%** Packs **13%**
Systems and recycling **10%**

| Step | Who controls it | Do they play? |
|---|---|---|
| **Mining** | Australia, Chile, Indonesia | No |
| **Refining** | China, 74 to 94% | No |
| **Coating electrodes** | Fragmented, almost nobody sells it | Yes, this is their business |
| **Making cells** | China, about 85% | Yes, but only just started |
| **Packs and recycling** | Regional, low barrier | No |

**Their four product lines, by growth and by share**
our read from public information, not company data




**Electrode foil pays the bills.** It is the only line with real customers, real volume, and almost no competition in Europe.

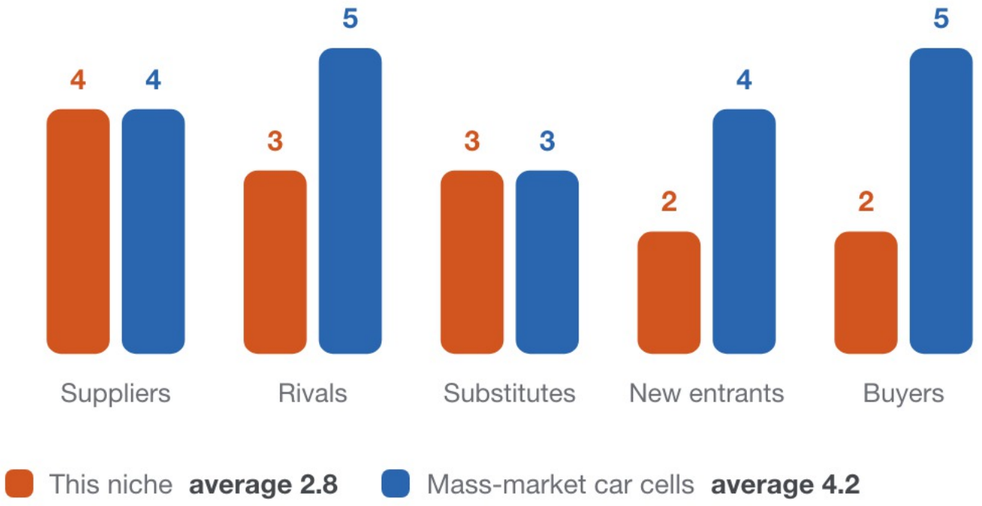
**The cell is the gamble.** Fast-growing market, almost no share, and it is spending the money they just raised.

Value split based on Deloitte's work reported by electrive; the split between steps is our estimate. Control shares from the IEA. The four-box view is our assessment from public information, not company data, and share is measured against the European niche each line competes in.

# A good niche, right next to a bloodbath

Same industry, two completely different businesses. We scored the five classic pressures for each. Lower is better.

**How hard each competitive pressure bites, in two different markets**
scored 1 to 5, where 1 is comfortable and 5 is brutal




**Suppliers are the one real problem, and it is the same in both.** China holds 90% of cathode and 98% of anode material, under licence rules. Their sodium-ion work is the only visible hedge.

**Competition eased because the competitors died**, not because of anything they did. The real rival is **Molicel** of Taiwan, not CATL: same size, same cell, same customers, and already signed with two aircraft makers.

**Customers have little power, and that is the whole point.** Once a cell is approved into a satellite or a surgical tool, changing supplier means starting approval again.

**Getting in is hard.** Money, know-how and years of customer approval, against a track record that now frightens investors away.

### The catch

This only holds while they stay out of cars **and out of power tools**, where they would meet EVE Energy: one Malaysian plant, **680 million cells a year**, seventeen times their entire target.

Our scoring, against the evidence set out in the full report. The scores are judgements; the facts underneath them are sourced. EVE Energy's Malaysian capacity from company announcements, February 2026.

# The honest balance sheet

## What is genuinely good

Dry coating actually running and selling, one of only three in the world.

They make their own anode and cathode, with **1,000 proven recipes**.

A competitive cell on paper: 6 Ah, fast charge, over 750 cycles.

Deliberately smaller than the size at which every European rival died.

## What is genuinely weak

Cell output is **under 1%** of advertised capacity, and the plan needs 100× growth in eighteen months.

**No quality certificate is published anywhere**, which matters because medical and space customers legally require them. Treat those as target markets, not real ones.

Not one customer is named publicly. One pending patent.

₹320 crore is thin for this plan, with no cushion.

## What is open to them

Their whole European competitor set vanished in eighteen months.

**Almost nobody in Europe sells electrodes**, and new EU rules make a European, carbon-declared electrode a selling point.

Defence and space budgets are rising and shut Chinese suppliers out.

## What could go wrong

**No carmaker or anchor customer owns a share.** Everyone who tried that has failed.

CustomCells died when one customer did not pay. We cannot see how concentrated UniverCell is.

LG reaches mass production in 2028 and the technology lead closes.

They do not qualify for Europe's ₹16,000 crore battery fund: it needs a plant seven times their size.

Every line traces to the full report. "No certificate is published" means we searched the website, every product page, the technical presentation and the funding announcement and found none as of October 2026. It does not mean they hold none.

# In this industry the rulebook is the moat

**What comes into force, and when**
the rules that bind anyone selling a battery into Europe

| | | |
|---|---|---|
| **10 Nov 2026** | China's export licence pause runs out | **watch this** |
| **Feb 2026** | EU carbon footprint declaration for industrial batteries | already in force |
| **Feb 2027** | Every battery sold in the EU needs a digital passport | a data project, not a form |
| **Aug 2027** | Supply chain checks for larger firms | importers hit hardest |

**The part that matters for us**

These rules bind **anyone selling into Europe, wherever the battery was made**. For an Asian exporter that is a cost. For a European maker it is a sales argument.

**The wider picture, in plain terms**

**helps them** Europe's new **₹16 lakh crore defence fund** requires 65% European content, and it is live now.

**hurts them** European packs cost **56% more** than Chinese ones, and German electricity is among the dearest in the developed world.

**helps them** Medical, space and defence buyers care about where a cell comes from more than what it costs.

**mixed** Dry coating is a real lead that closes around 2028. Sodium-ion is both their hedge and a threat.

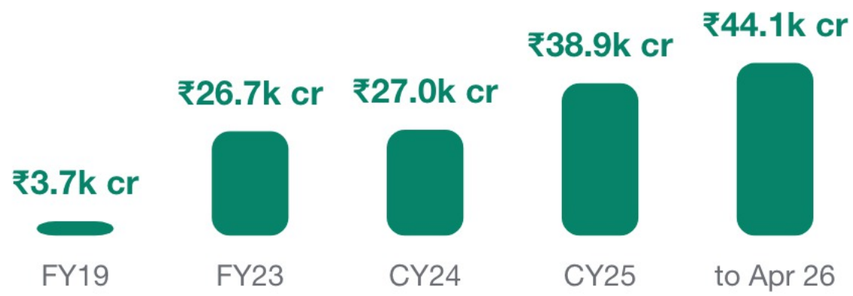
**helps them** Solvent-free coating on a wind-powered grid gives them a genuinely low carbon number to declare.

**mixed** Europe's battery subsidy fund targets exactly the large-scale strategy that already failed, so they are shut out.

EU Battery Regulation 2023/1542 and its 2025 amendment · Critical Raw Materials Act · European Commission's Battery Booster call text, which requires a 10 GWh minimum · China's MOFCOM notices · BloombergNEF regional price differences. Europe's carbon border tax does not currently cover batteries.

# Four things we could actually do with this

**What India spends on imported battery cells each year**
₹ crore, customs code 850760. Fiscal years to FY23, calendar years after




**2.8%**

**of our own PLI target built**

1.4 GWh against a 50 GWh goal, and nothing paid out yet.

**0%**

**duty on battery machinery**

85 machine types, coaters included, duty-free until March 2029.

**1. Buy the method, not the cell design.** Chinese cathode technology now needs Beijing's permission to transfer. European dry-coating does not, Dürr and LiCAP want a partner, and the machine lands here duty-free until March 2029. **small spend, 12 to 24 months**

**2. Sell electrodes, not cells.** Coating is where UniverCell actually makes money, and the same gap exists here at bigger scale. A fraction of the cost of a cell plant, and it supplies every cell maker instead of competing with them. **medium spend, 2 to 3 years**

**3. Serve the customers nobody serves.** Indian drone, defence, space and power-tool makers have **no domestic source of high-power cylindrical cells at all**. **medium spend, 2 to 4 years**

**4. Buy European distress, carefully.** Seven firms are in or near administration and assets are cheap, for a reason. What is worth buying is **the team and the recipe library**, not the building. **high risk**

UN Comtrade via GTAIC and Volza: 2025 imports of ₹38,900 crore, up 44% in value and 75% in volume, 93% from China · IEEFA and JMK Research on PLI delivery · CBIC customs notification 27/2026 · China's July 2025 cathode technology rule. By 2030 the bill could be ₹1.3 to 2.2 lakh crore depending on demand and price.

# Where this leaves us

## UniverCell is a real electrode business with a genuine process advantage and an unproven cell business, sitting in the one corner of this industry where being small is a strategy rather than a weakness.

We are not being asked to back them. The useful part is the map: the chokehold is on processing, the cost fight is unwinnable, and the money sits in the step nobody else sells.

### Do this in the next quarter

**Call Dürr and LiCAP.** A proven European dry-coating system, no partner, and the machine lands here duty-free until March 2029.

**Size the electrode play.** One analyst, four weeks, a real capital number against India's cell pipeline.

### Ask UniverCell these, in writing

**Which quality certificates do you hold?** None is published, and medical and space work legally requires them.

**Where are the firm orders?** CustomCells was killed by one customer not paying.

### What would change the answer

**A named anchor customer** with contracted volume would upgrade them materially.

**Any slip in the 2027 ramp** would downgrade them just as fast.

**China letting the pause lapse** in November makes all of this urgent rather than interesting.

Built from company filings, regulator and agency publications and named industry sources. Figures current to 20 October 2026. Every number in this deck is sourced in the companion report.